

CWRU
MGMT 205 -Week 9

Should I Buy
or Should I Lease?

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Class Activity
Build a defense – Buy or Lease

- ◆ Split into groups of 4
- ◆ Discuss your assigned category and build a list of the reasons to DO what you were assigned (Buy or Lease)
- ◆ Send one rep to the white board to create a comprehensive list – add to other group items (or be the first)

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Did you watch Suze Orman's video about leasing a car?

A Yes 0

B No 0

Start the presentation to see live content. For screen share software, share the entire screen. Get help at polllev.com/app

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Did you watch Dave Ramsay's video about buying versus leasing a car?

A Yes 0

B No 0

Start the presentation to see live content. For screen share software, share the entire screen. Get help at poller.com/app

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Suze Orman Video Leasing A Car

▶ https://www.youtube.com/watch?v=SF19_55XeW8

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It depends but in general...

- ▶ Leasing should be considered A LUXURY!
- ▶ Factors to Consider
 - ▶ Financial Condition
 - ▶ Debt Status
 - ▶ Savings Status
 - ▶ Liquidity & Cash flow
 - ▶ Economics
 - ▶ Short-term – leasing can cost the same or less
 - ▶ Long-term – buying is always cheaper
 - ▶ Lifestyle and Use of Vehicle
 - ▶ Personal and/or business use of vehicle

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Buying a Car

- ◆ You purchase the vehicle from the Dealer or Private Party
 - ◆ Negotiate Purchase Price
 - ◆ Pay Cash or Finance
 - ◆ Down Payment (10 – 20%) of purchase price, if financing
 - ◆ Finance (through dealer or other – Rates vary)
- ◆ You OWN the vehicle
- ◆ Maintenance, repairs, and insurance are your responsibility.
- ◆ When loan is paid off (assuming you financed), monthly payment ends.
 - ◆ You can continue to drive the car as long as you desire without a required monthly payment.



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Financing a Car Purchase Vocabulary

Negotiated Price
 + Sales Tax
 + Fees, Title, etc
 Total Purchase Cost
 - Trade in Value of old vehicle
 - Down Payment
 \$ Amount Financed



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Financing a Car Purchase Vocabulary

- ◆ **Interest Rate**
 - ◆ The cost of borrowing the money for the purchase
- ◆ **Monthly Payment**
 - ◆ Calculated based on amount financed, term of loan (months), interest or borrowing rate
- ◆ **Maturity**
 - ◆ The point at which the loan is paid-off.
 - ◆ You keep driving the vehicle as long as you want without a monthly payment



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Leasing a Car

- ◆ You lease a car from the leasing company through the dealer.
 - ◆ Negotiate the price
 - ◆ Dealer provides the financing
 - ◆ Down-payment – can be quite low (0 or first month payment)
 - ◆ Need strong credit score
- ◆ Leasing is “Renting”
- ◆ Maintenance, repairs, and insurance are your responsibility.
- ◆ End of Lease – Give the car back (or purchase it)
- ◆ Always leasing means always having a monthly car payment. (When the lease ends, you then have to lease another)



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Lease Terminology

- ◆ **Capitalized Cost**
 - ◆ The “purchase price” (negotiable) plus
 - ◆ fees you may want to include in financing (like acquisition fee).
- ◆ **Capitalized Cost Reduction**
 - ◆ Anything you pay that will reduce the total cost capitalized (trade-in allowance, rebate, down payment)
- ◆ **Adjust Capitalized Cost**
 - ◆ The amount used to calculate your lease payment (i.e. the amount financed)
- ◆ **Acquisition Fee**
 - ◆ Amount charged by dealer to arrange the lease.



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Lease Terminology

- ◆ **Down payment**
 - ◆ May or may not be required.
 - ◆ Lowers monthly payment
- ◆ **GAP Insurance**
 - ◆ Provides coverage for amount between remaining lease balance and actual cash value insurance pays in the case of total loss.
- ◆ **Residual Value**
 - ◆ The amount the finance company believes the market value of the leased vehicle will be at lease expiration. (Purchase Price – Residual = Depreciation)
- ◆ **Money Factor**
 - ◆ Cost of borrowing/financing
 - ◆ Multiply this factor by 2,400 to convert to an annual interest rate



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Lease Terminology

- ◆ **Maturity**
 - ◆ End of the Lease
- ◆ **Disposition Fee**
 - ◆ Fee to cover costs to "clean and prepare the car for sale"
- ◆ **Closed End Lease**
 - ◆ Must return the vehicle to lessor at end of lease
 - ◆ You are responsible for any excess mileage and any "excess wear" on exterior/interior
- ◆ **Open End Lease**
 - ◆ You can purchase vehicle for its Residual Value or
 - ◆ Treat the lease as a Closed End Lease



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Example – Cost of Buying

- ◆ **Assumptions**
 - ◆ You will purchase and hold vehicle for 6 years
 - ◆ Your purchase a 2025 Honda Civic for \$25,000
 - ◆ You make a 10% down payment of \$2,500
 - ◆ You finance the balance of \$22,500 over 48 months (i.e. 4 years)
 - ◆ Kelly Blue Book estimates the value of a 2019 Honda Civic (in very good condition to be \$16,000) (6 years old)
 - ◆ Loan financing rate is at 6%
 - ◆ Monthly Payment is \$528.41

EXAMPLE

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Example – Cost of Buying

- ◆ **Cost of Buying**
 - ◆ Total payments $(48 \times \$528.41) = 25,368.83$
 - ◆ Down payment = \$2,500
 - ◆ Estimated FMV in 6 years = \$16,000
- ◆ **Net Cost over 6 Years**
 - ◆ $25,368.83 + 2,400 - 16,000 = \$11,863.83$
 - ◆ Annual Cost of Owning = $11,863.83 \div 6 = \$1,977.31$

EXAMPLE

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Example – Cost of Leasing

Assumptions

- ◆ You will lease a car for 6 years. You will enter a 3 year lease today and another 3 year lease 3 years from today at the end of the first lease.
- ◆ You enter into a 3 year lease on a 2025 Honda Civic
- ◆ You make a down payment of \$2,500
- ◆ You assume you can enter into the same lease for another new Honda Civic in 3 years.
- ◆ Your monthly lease payment is \$287.00
- ◆ Monthly lease based on online advertisement

EXAMPLE

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Example – Cost of Leasing

First Lease

- ◆ Total payments $(36 \times \$287) = 10,332$
- ◆ Down payment = \$2,500
- ◆ Total of 1st lease = \$12,832

Second Lease

- ◆ Total Payments $(36 \times \$287) = 10,332$
- ◆ Down payment = \$2,500
- ◆ Total of 2nd lease = \$12,832

Net Cost over 6 years

- ◆ $\$12,832 + \$12,832 = \$25,664$
- ◆ Annual cost of leasing = $\$25,664 / 6 = \$4,277$

EXAMPLE

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Example – Buy versus Lease

Annual cost of buying

- ◆ \$1,977.31



Annual cost of leasing

- ◆ \$4,277

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Buying: Pros and Cons

Pros

- ◆ Less expensive over long-term
- ◆ No excess mileage penalty
- ◆ No excess wear/tear penalty
- ◆ Car customization

Cons

- ◆ Higher down payment than leasing
- ◆ Higher monthly payments
- ◆ Repair costs after warranty expires
- ◆ Time/cost of trading in vehicle

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Leasing: Pros and Cons

Pros

- ◆ Brand new car every 3 years
- ◆ Always covered by manufacturer's warranty
- ◆ Lower monthly payment
- ◆ Option to purchase at maturity if open-end lease

Cons

- ◆ More expensive over long-run
- ◆ Mileage limitations
- ◆ Strong credit score required
- ◆ Excess Wear and Tear penalties
- ◆ Expensive to terminate early
- ◆ Complicated contracts

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What to do?

- ◆ Have Debt and/or Behind in Retirement Savings
 - ◆ Buy a used car (2 to 3 years old)
 - ◆ Finance over 3-year period
 - ◆ If you cannot afford the payment, choose a less expensive make/model
 - ◆ Drive until your financial situation gets stronger
- ◆ No Debt and on Target for Retirement Savings
 - ◆ Buy Used (2 to 3 years old)
 - ◆ Buy New, Drive it for 6 to 8 years, (better yet – 10 years)
 - ◆ Lease with open-end lease
 - ◆ If Residual Value < FMV, Buy it
 - ◆ If Residual Value > FMV, Return it
- ◆ If you use your car for business, consider the related tax benefits/deductions.



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Car Buying Tips

- ◆ Do Research – Know current market value of the Make / Model you are considering so you can recognize a good deal
- ◆ Consider Private Party Sale
 - ◆ Typically can negotiate lower than a dealer
 - ◆ Have checked by mechanic before purchase
 - ◆ Learn service / accident history
- ◆ Check dealer inventory for “demos” or “courtesy vehicles”
 - ◆ Tend to have low mileage



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Car Buying Tips

- ◆ Look for vehicles coming off a 2-year, low mileage (20,000) lease
 - ◆ Talk to dealer to see what inventory is coming off lease in next 4 to 8 weeks
 - ◆ Dealer can provide service records
 - ◆ Still under warranty for 2 to 5 more years
- ◆ Explore GAP Insurance
- ◆ Commit to the car for 8 or 10 (even 12+) years to maximize economics of buying versus leasing .
- ◆ Set aside funds that would have been a payment (after it's paid off) to put toward the next future vehicle purchase.



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Car Leasing Tips

- ◆ Negotiate the “purchase price” or capitalized cost
- ◆ Negotiate the residual value before signing the contract
- ◆ Look for the Manufacturer's subsidized lease programs (Big ads in local newspaper or TV)
- ◆ Educate yourself – Know the terms/conditions of the lease
- ◆ If GAP insurance is not included in lease, buy it
- ◆ Be committed for the entire period



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Rather than finance...

- ◆ Pay cash for your first car (purchase a car for which you can afford to pay cash and will meet your basic needs).
- ◆ Save the monthly loan payment you would have been making in a "car fund." YOU MUST DO THIS.
- ◆ When the "car fund" is large enough, sell your old car and purchase your next car.
- ◆ Repeat
- ◆ You will never pay interest on a car loan.

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Always pay cash example...

- ◆ Purchase first car with cash: \$3,000 to \$5,000
- ◆ Save monthly payment (from prior example) for desired car - \$528.41 (Payment based on \$25,000 Honda Civic financed for 4 years at 6%)
- ◆ Save for 1 Year (528.41×12) = \$6,340.92
- ◆ Save for 2 Years (528.41×24) = \$12,681.84
- ◆ Save for 3 Years (528.41×36) = \$19,022.76
- ◆ Save for 5 Years (528.41×60) = \$31,704.60
- ◆ Sell Old Car and Purchase New with saved car fund and proceeds of sale of old car
- ◆ REPEAT

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Always Pay Cash Example...

Example - Always buy your car with cash

AGE	First Car	
23	\$3,000	
	Save for 2 years	
	Monthly	Total
	\$528.41	\$ 12,681.84
	Old Car Sale	\$ 500.00 Assuming minimal
25		\$ 13,181.84
	Save for 5 years	
	\$528.41	\$ 31,704.60
	Old Car Sale	\$ 6,590.92 Assume 50% of purchase
30		\$ 38,295.52 New Car Purchase
	Save for 5 years	
	\$528.41	\$ 31,704.60
	Old Car Sale	\$ 19,147.76 Assume 50% of purchase
35		\$ 50,852.36 New Car Purchase
	Save for 5 years	
	\$528.41	\$ 31,704.60
	Old Car Sale	\$ 25,426.18 Assume 50% of purchase
40		\$ 57,130.78 New Car Purchase

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